officials and the trading fortunes of English merchants also found their way into England.

The drain took the form of an excess of India's exports over its imports, for which India got no return. While the exact amount of the annual drain has not been calculated so far and historians differ on its quantum, the fact of the drain, at least from 1757 to 1857, was widely accepted by British officials. Thus, for example, Lord Ellenborough, Chairman of the Select Committee of the House of Lords, and later Governor-General of India, admitted in 1840 that India was "required to transmit annually to this country (Britain), without any return except in the small value of military stores, a sum amounting to between two and three million sterling". And John Sullivan, President of the Board of Revenue, Madras, remarked: "Our system acts very much like a sponge, drawing up all the good things from the banks of the Ganges, and squeezing them down on the banks of the Thames."

The drain went on increasing after 1858, though the British administrators and imperialist writers now began to deny its existence. By the end of the nineteenth century it constituted nearly 6 per cent of India's national income and one-third of its national savings. The wealth drained out of India played an important part in financing Britain's capitalist development, especially during the eighteenth century and the beginning of the nineteenth century, that is, during the period of Britain's early industrialisation. It has been estimated that it constituted nearly two per cent of Britain's national income during that period. The figure assumes importance if it is kept in view that Britain was at that time investing in industry and agriculture about 7 per cent of its national income.

Development of Means of Transport and Communication

Up to the middle of the nineteenth century, the means of transport in India were backward. They were confined to bullock-cart, and packhorse. The British rulers soon realised that a cheap and easy system of transport was a necessity if British manufactures were to flow into India on a large scale and her raw materials secured for British